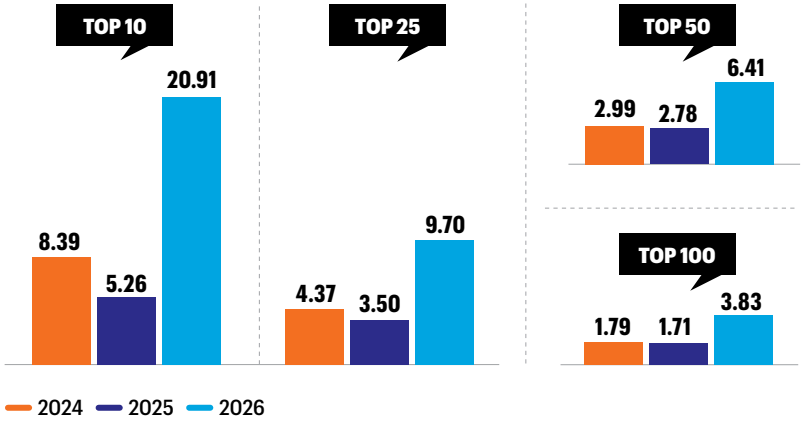
RESEARCH COMES TO THE RESCUE

• Research and consulting revenue up sharply in 2026



NOTE AVERAGE REVENUE GENERATED FROM RESEARCH & CONSULTING IN ₹ CRORE **SOURCE** *BT*-MDRA BEST B-SCHOOL SURVEYS

nomics and Policy and Associate Dean of Executive Education, SPJIMR, says executive education has undergone a significant transformation, driven by Covid-19 and, more recently, geopolitical and economic uncertainties. "While organisations are increasingly scrutinising training budgets, we believe those that recognise the strategic importance of capability building and leadership development will continue to invest in learning, particularly as they navigate unprecedented change and uncertainty."

THE TUITION FEE

However, one number matters more than any of these shifts—tuition fee. When an institution depends heavily on tuition, every major increase in operating cost—faculty, research, career services—adds to the fee.

This is where Indian B-schools remain vulnerable, say analysts. B-schools across Asia-Pacific, including India, rely heavily on tuition and other student-related revenues. In contrast, institutions in the Americas have a broader financial base, including institutional allocations, government support and endowments.

Indian B-schools have historically underinvested in endowments and alumni donations. Donor-funded academic chairs, which provide leading global schools a relatively stable funding for faculty, are rare.

The biggest cost comes from an area that matters the most—faculty. India's pipeline of PhDs is thin, and B-schools must compete with industry for experienced professionals and global schools for talent. If a school wants to pay competitively and build a stronger faculty, tuition fee is the only reliable option for funds.

Another change is easy to miss. The B-school is becoming much more capital-intensive. Technology, data, AI-enabled learning, industry engagement and career services require sustained investment. The competitive infrastructure has moved far beyond classrooms and libraries.

Metri describes investments in AI-enabled education, digital studios, analytics tools and hybrid learning platforms. IIM-B, for instance, has introduced new courses to align with emerging technologies. "Rapid developments in technology—such as AI and fintech—require continuous reskilling and upskilling of the workforce. In response, IIM-B offers short- and long-duration programmes in data science, machine learning, and both predictive and generative AI, delivered through offline and online learning channels," says U. Dinesh Kumar.

Another cost has received less attention. Standalone self-financing management institutes such as SPJIMR award diplomas rather than degrees because they are not universities. The proposed Higher Education Commission of India envisages a new regulatory architecture under which degree-granting institutions will occupy a central position.

The IIMs got institutional status through the IIM Act. Standalone private B-schools lack the same statutory route. If the regulatory framework moves towards a degree-oriented system, these schools will need to invest in faculty, governance, infrastructure and other institutional requirements associated with degree-granting status. Again, B-schools will turn to tuition fees to sustain themselves.

The demand for management education remains strong. "A B-school cannot sustainably compete by continuously increasing fees," Neti says. The more useful question, he argues, is whether the extra money students pay produces a better return on their investment.

That puts the burden back on the school. Until endowments become substantial and donor-funded faculty chairs become routine, B-schools may continue to struggle to tap other income sources. BT